What's Left: A First-Year Grad Student's Tax Guide for Fellowships & Stipends

Introduction

You did the math. Your stipend should cover everything. Then tax season hit.

The first year you filed taxes on fellowship or stipend income, you probably did one of two things: either you owed more than you expected and scrambled to cover it, or you spent the entire spring convinced you were doing it wrong and didn't have anyone to ask. That's not a you problem. That's a system problem.

Fellowships and stipends are taxed differently than any income most people have encountered before. Your university doesn't automatically withhold federal income tax or Social Security tax from your stipend the way a normal paycheck works. Your funding letter doesn't say how much of your award is taxable. Your department's "tax info" sheet is a PDF from 2019. And nobody in your cohort fully understands it either—they're just guessing together and hoping for the best.

"What's Left" is the guide that exists because nobody explained this clearly before you needed to know it. By the time you finish this, you'll know exactly what portion of your stipend counts as taxable income, how federal and state brackets apply to your specific situation, what estimated payments you're responsible for, and which deductions grad students actually qualify for—not the generic ones, the real ones that apply when you're living on $28,000/year.

You will stop guessing. You will stop being short.

Here's what you're getting into: this guide covers four things that actually matter for your first year filing. Part One decodes your funding letter so you know exactly what type of income you're receiving. Part Two walks through federal tax brackets and how your stipend fits into them. Part Three tackles state taxes—the part that trips up almost everyone, including people who've been filing for years. Part Four covers quarterly estimated payments and the deductions that can actually reduce what you owe.

Let's get into it.

Part 1: What They Actually Gave You

Decoding Your Funding Letter

Before you can figure out what you owe, you need to know what you're actually being paid. This sounds simple, but grad student funding comes in several different forms, and they each get taxed differently. The line item labeled "Fellowship" in your offer letter is not the same as the line item labeled "Stipend," and neither is the same as your RA/TA paycheck. Confusing these is where most first-year problems start.

Chapter 1: Fellowship, Stipend, or Salary—What Did They Actually Call It?

The IRS doesn't care what your university called it on paper. They care about the substance of the payment. But your funding letter is where you start, so let's decode it.

Fellowships are awards given to support your education and research. They're generally treated as tax-free to the extent they cover qualified tuition and required fees, and to the extent they're used for those purposes. If your fellowship is $35,000 and you're paying $15,000 in tuition, the taxable portion might be $20,000—depending on what expenses the fellowship is explicitly for.

Stipends are payments meant to cover living expenses. They're not tied to specific services like teaching or research. The IRS treats most stipend income as taxable, even if your university calls it a "fellowship" on paper. The label your department uses doesn't control the tax treatment—what matters is whether the money is for tuition and fees or for you to live on.

RA/TA salary is where it gets interesting. When you're paid as a research assistant or teaching assistant, that's wages. Your university should be withholding income tax, Social Security, and Medicare from those payments. But here's the catch: some universities treat a portion of your RA/TA pay as a "tuition waiver" and don't withhold FICA. If that happens, you might owe self-employment tax on that portion at the end of the year.

Training grants (like an NIH or NSF training grant) have their own rules. These can be tax-exempt in certain circumstances, but the rules are specific and you need to read the fine print.

The actionable step: Go pull out your funding offer letter right now. Find every line item that represents money coming to you. Next to each one, write one word: Fellowship, Stipend, or Salary. That's the first layer of your tax puzzle.

Chapter 2: Your 1098-T Is Not What You Think It Is

Your university sends you a 1098-T every January. It looks official. It has tuition amounts on it. It might even show a number in the "payments received" box that looks like it corresponds to your funding package. You might think this means your stipend income isn't taxable because, hey, look at all that tuition coverage.

That thinking will cost you.

The 1098-T is a tuition statement. It exists to help you claim education credits like the American Opportunity Credit or Lifetime Learning Credit. It does not make your stipend income tax-free. It does not tell the IRS anything about your fellowship or stipend. It's between you and the financial aid office, and it does not offset your tax liability.

Here's what the 1098-T actually shows: qualified tuition and related expenses, scholarships or grants administered by the school, and adjustments to those amounts. What it does not show is your taxable stipend income or how much of your award is taxable versus tax-free.

The actionable step: Log into your university's student portal and pull your 1098-T for the tax year in question. Yes, you need to know which tax year corresponds to which academic year—this matters too. A 1098-T issued in January 2025 covers the 2024 calendar year, which corresponds to fall 2024 and spring 2025. Now look at that number and recognize it for what it is: a tuition statement, not a tax exemption certificate.

Chapter 3: FICA—Or, Why You Might Owe Thousands You Never Planned For

Here's the one that really hurts people.

FICA stands for Federal Insurance Contributions Act. It's Social Security and Medicare taxes. For normal employees, your employer splits this with you—you pay 7.65% and they pay 7.65% on every dollar you earn.

When you're paid as an RA or TA, your university is supposed to withhold FICA from your wages. But many universities treat graduate student employees differently. Some don't withhold FICA at all, treating the tuition waiver or the education component as outside the employment relationship. In that case, the IRS considers you responsible for both the employee and employer portions—which is 15.3% of that income.

This is called "FICA refund" or "FICA back tax" territory, and it's where first-year grad students get blindsided. You worked, you were paid, you spent the money on rent and groceries like a normal person—and then at tax time you discover that the IRS considers you owe Social Security and Medicare taxes on top of everything else.

The rule to know: Section 3121(b)(10) of the Internal Revenue Code exempts services performed in the employ of a school, college, or university from FICA if the student is enrolled and regularly attending classes. In practice, universities interpret this differently, and the IRS has gone back and forth on enforcement.

The actionable step: Find your pay stubs from the past year. Look at each one and check whether FICA (Social Security and Medicare) was withheld. If it wasn't, and if you were paid as an RA or TA, you may need to set aside money for self-employment tax or work with a tax professional to resolve this. Don't ignore it—the penalties and interest add up.

Key Takeaway for Part 1

Your funding letter is the map. Before you can figure out what you owe, you need to know what type of income each payment represents and whether FICA was withheld. Fellowships, stipends, and salary are taxed differently. Your 1098-T doesn't help.

Part 2: What the Government Actually Wants

Federal Tax Structure

Now you know what you received. Let's figure out how much of it the IRS wants.

This is where most guides lose people—they go straight to tax brackets without explaining the fellowship exclusion, which is the calculation that determines how much of your stipend is actually taxable. That's the part that matters first.

Chapter 4: The Fellowship Exclusion—Your Starting Point

Here's the IRS formula that your university will never explain to you:

For fellowship or grant money to be tax-free, it must be used for qualified tuition and fees required for enrollment or attendance at the institution, and for books, supplies, and equipment required for courses—but only if those items are purchased from the institution.

In plain English: the portion of your fellowship that goes directly to tuition is tax-free. The portion that goes to you as a living stipend is taxable.

But here's where it gets messy: many universities pay stipends separately from tuition billing. Your tuition is waived (or covered by the fellowship), and then you receive a separate payment for living expenses. The IRS looks at the total amount and applies the exclusion based on what the fellowship was designed to cover.

If your funding letter says "$28,000 fellowship" and you're paying $0 in tuition because it's all covered, that entire $28,000 is taxable as a stipend. If your funding letter says "$35,000 total package: $18,000 tuition waiver, $17,000 living stipend," the math gets more complicated.

The actionable step: Find your funding breakdown and identify two numbers: (1) what your tuition and required fees cost, and (2) what you receive as direct payment to yourself. The first number is potentially tax-free. The second number is almost certainly taxable. This is your starting point for everything else.

Chapter 5: Your Tax Brackets—How Federal Income Tax Actually Works

Once you know your taxable income, the next question is: what do you actually owe?

The US uses progressive tax brackets. This means different portions of your income are taxed at different rates, and the rates only apply to income within each bracket—not your whole income.

For 2024 taxes (filed in 2025), the federal brackets for single filers are:

- 10% on income up to $11,600
- 12% on income from $11,601 to $47,150
- 22% on income from $47,151 to $100,525
- 24% on income from $100,526 to $191,950

- 32% on income from $191,951 to $243,725
- 35% on income from $243,726 to $609,350
- 37% on anything above $609,350

Here's the part that surprises people: the standard deduction reduces your taxable income before these brackets apply. For 2024, the standard deduction for single filers is $14,600. If you received $30,000 in taxable stipend, you don't owe taxes on $30,000—you owe taxes on $15,400.

That moves you into the 10% bracket for most of it, with a small slice into the 12% bracket. Your total federal tax would be roughly $1,700—nowhere near what people expect when they see "income tax" applied to a $30,000 stipend.

The actionable step: Take your taxable income number from Chapter 4. Subtract $14,600 (the 2024 standard deduction for single filers). Calculate 10% of the result—that's approximately what you owe in federal income tax before credits. This is the number you should be setting aside throughout the year, not scrambling to find at filing time.

Chapter 6: The Qualified Business Income Deduction—Maybe Yours

This is the one that doesn't get mentioned enough for grad students who work as RAs or TAs.

The Qualified Business Income (QBI) deduction, created by the Tax Cuts and Jobs Act, allows certain pass-through business owners to deduct up to 20% of their qualified business income. For years, there was speculation about whether RA/TA stipends could qualify—since research assistants often perform services that could be considered self-employment or independent contractor work.

The IRS has generally taken the position that services performed as an employee (with a wage paid by a university) don't qualify for QBI. But if you're on a training grant that requires you to perform services that could be characterized as consulting or independent work, the picture is less clear.

This is genuinely one of the murkier areas of grad student taxation, and the rules have changed as regulations evolved. If you're paid as an RA or TA and your university issues a 1099 for any portion of your income, it's worth talking to a tax professional who understands academic employment structures.

The actionable step: Look at your income documents. If you received any 1099 forms (for independent contractor work, consulting, etc.), the QBI deduction might apply to that income. If your only income documents are W-2s from your university, the QBI deduction is unlikely to help you.

Key Takeaway for Part 2

Your taxable income starts with what you actually received, minus qualified tuition expenses, minus the standard deduction. Federal tax brackets only apply to income within each bracket—your full stipend isn't taxed at your top rate. For most grad students on stipends, the effective federal rate is lower than expected, but state taxes tell a different story.

Part 3: What the Government Also Wants

State Tax Reality

Here's where you got burned. You did the federal math. You set aside money for federal taxes. You filed confidently. And then you discovered you owed state income tax that you hadn't planned for, and now you're short.

You're not alone. This is the number one complaint from first-year grad students who file taxes, and it happens because state taxes are treated like a mystery by every guide available.

Chapter 7: Your State Wants a Cut Too

Every state except Alaska, Florida, Nevada, South Dakota, Tennessee, Texas, Washington, and Wyoming has an income tax. If you're living in California, New York, Illinois, Massachusetts, or any other state with an income tax, your stipend is subject to it.

The problem: most grad students don't know this until they're staring at a tax bill.

Here's why it catches people off guard. When you're employed normally, your employer withholds state income tax from your paycheck. But fellowships and stipends are often paid without any withholding at all. You're receiving the full amount, spending it, and then discovering at tax time that the state wants a piece.

State income tax rates vary enormously. California has a top rate of 13.3% (though that only applies to income over $1 million—realistically you're looking at 6-9% for most stipends). New York ranges from 4% to 10.9% depending on income. Illinois is a flat 4.95%. Massachusetts is 5%. Some states have brackets that are more aggressive than federal rates for middle-income earners.

The actionable step: Google "[Your State] income tax rates 2024" and find the current bracket table for your state. Calculate what 4-6% of your gross stipend income would be—that's roughly what you owe in most states. Set that money aside in a separate account throughout the year. Do not rely on your stipend payment being your only money available for bills and expenses—part of it belongs to your state.

Chapter 8: State Taxes When You Move

Here's a complication that trips up graduate students who relocate for school.

If you're originally from one state, go to grad school in another state, and your parents claim you as a dependent, you might have tax obligations in multiple states. Some states tax all income earned within their borders. Some tax income from sources within the state. Some tax your entire income even if it's earned elsewhere, if you're a resident.

This is especially messy when you're a student. If you moved from Ohio to California for grad school, and you're a California resident, you owe California tax on your entire stipend. But if California considers you a non-resident (because you're only there temporarily for education), you might owe tax only on income earned in California—which is all of it. Either way, you're paying.

The actionable step: Determine your residency status for state tax purposes. Did you move to a new state with the intention of making it your permanent home, or are you there temporarily for school? Most grad students are considered residents of their school state for tax purposes if they're living there for more than half the year and have established ties there (driver's license, lease, bank account). Look up your state's rules on student residency for tax purposes, or call your state's department of revenue and ask directly—they will tell you.

Key Takeaway for Part 3

Your state wants income tax too, and there's no automatic withholding from fellowship payments. Most grad students underestimate this by thousands of dollars. Calculate your state rate, set money aside throughout the year, and know your residency status before you file.

Part 4: What You Can Actually Keep

Estimated Payments and Deductions

You know what you received. You know what the government wants. Now the question is how to keep more of what you earned—through quarterly estimated payments that avoid penalties, and deductions that reduce your taxable income.

Chapter 9: Quarterly Estimated Payments—Who Needs Them and How to Set Them Up

The IRS expects you to pay taxes as you earn income throughout the year. If you're employed normally, withholding from your paycheck handles this automatically. But when you're on a fellowship or stipend without withholding, you're responsible for making estimated tax payments yourself.

The threshold: if you expect to owe $1,000 or more in taxes after withholding credits, you should make quarterly payments. For most grad students on stipends, this threshold is crossed easily.

The payments are due four times per year: April 15, June 15, September 15, and January 15 of the following year. If any of those dates falls on a weekend or holiday, the deadline moves to the next business day.

How to set them up:

1. Go to IRS.gov and create an account (if you don't have one). This gives you access to the IRS Direct Pay system and the ability to set up payment plans.
2. Estimate your total tax liability for the year. Use the calculations from Parts 1-3 to get close—federal, state, and FICA if applicable.
3. Divide by four. That amount is each quarterly payment.
4. Make your first payment by the April 15 deadline. You can pay directly from your bank account through IRS Direct Pay with no fees.
5. Adjust as needed if your income changes mid-year. If you get a one-time bonus or additional funding, recalculate and increase your remaining payments.

The penalty for underpayment is generally the IRS interest rate (currently around 8% annually) applied to the amount you underpaid. That's an avoidable cost. Setting up quarterly payments isn't complicated—it takes about an hour once and then you're done for the year.

The actionable step: If you're on a fellowship or stipend without automatic withholding, and you expect to owe more than $1,000 total for the year, set up your first quarterly estimated payment before April 15. Go to IRS.gov/payments right now. It takes less than 30 minutes to make your first payment, and it eliminates the penalty risk entirely.

Chapter 10: The Deductions That Actually Apply to Grad Students

Deductions reduce your taxable income. The more deductions you have, the less you owe. Here's what actually applies to grad students living on stipends.

Standard deduction: We already covered this. For 2024, it's $14,600 for single filers. This is automatic—you don't need to do anything special.

Student loan interest: If you're paying interest on any student loans, you can deduct up to $2,500 of interest paid during the year, even if you don't itemize. This phases out at higher income levels, but for most grad students it applies fully.

Education expenses: The Lifetime Learning Credit and American Opportunity Credit apply to tuition you paid. If your tuition was waived as part of your fellowship, you didn't pay tuition—so these credits don't apply to you. But if you paid any out-of-pocket tuition (summer courses, lab fees, etc.), you might qualify.

Moving expenses: If you relocated to attend grad school, and you moved more than 50 miles from your prior home, you can deduct moving expenses. This was suspended under the Tax Cuts and Jobs Act for most taxpayers through 2025, but it's worth knowing for the future.

Charitable contributions: If you donate to charity, you can deduct up to 60% of your adjusted gross income if you itemize. For most grad students, the standard deduction is larger than itemizing, so this only helps if you have significant charitable giving.

What doesn't apply: Room and board, groceries, personal expenses, your laptop for research, or anything else that isn't specifically listed above. These are common misconceptions—you cannot deduct your rent as a business expense unless you're running a business from your home with a specific structure.

The actionable step: Calculate which of these deductions you might qualify for. The student loan interest deduction requires Form 1098-E from your loan servicer—request it if you haven't received it. The education credits require Form 1098-T from your university. Gather these documents before you file.

Key Takeaway for Part 4

Quarterly estimated payments are not optional if you owe more than $1,000 and have no withholding—they're how you avoid penalties. Set them up once and forget about them. For deductions, the student loan interest deduction and education credits are the ones most likely to help you. Everything else is noise.

Conclusion: What to Do Now

You made it through the guide. Here's what you know now that you didn't know before:

Your fellowship or stipend income is taxed based on what type of payment it is and whether it covers tuition or living expenses. Federal taxes use progressive brackets, and your taxable income is your stipend minus qualified education expenses minus the standard deduction. State taxes exist in most states and are rarely withheld, so you need to plan for them. Quarterly estimated payments are how you avoid penalties when there's no automatic withholding.

Your next step: Open a separate savings account today. Label it "taxes." Set it to receive a fixed amount each month from your stipend—calculate 20-25% of your monthly stipend and send that amount to this account. By the time taxes are due, you'll have the money set aside instead of scrambling.

This guide pairs with the **Action Checklist**—a companion document that walks you through each step in a single-page checklist format. You can use it to verify you've completed every calculation, found every relevant document, and made every required payment before the deadlines hit. Print it, keep it on your desk, and work through it one item at a time.

You can figure this out. You've already done the hard part—you learned what was actually happening. Now it's just a matter of executing the steps.

Stop guessing. Stop being short. You know what's left.

What's Left: A First-Year Grad Student's Tax Guide for Fellowships & Stipends For grad students in their first year of funding. Written to help. Not to make money off you. No AI slop. No "game-changer" language. Just the truth.